

Anomaly Something that deviates from the norm, such as investment strategies that outperform expectations based on their systematic risks; situation in which performance is contrary to the idea of efficient markets.

Asymmetric loss aversion Taking large risks in attempting to avoid loss, but risk averse in the face of potential gains; see also *Disposition effect*.

Autocorrelation The cross-correlation of returns with themselves, also known as auto-covariance; correlation between values of a process at different times.

Backfill bias When results are added to an index only after a few months or years of good performance; a form of self-selection bias.

Bandwagon effect See *Herding*.

Basis points A unit of measure in finance equal to one-hundredth of one percentage point.

Behavioral finance Study of social, cognitive, and emotional factors on the behavior of investors and the effect this has on markets; explains why investors make irrational decisions that lead to market anomalies.

Beta Measure of the risk arising from exposure to general market movements; risk that cannot be diversified away.

Bias An inclination of temperament or outlook.

Bootstrap Resampling technique to obtain estimates of sample statistics; used when the statistical distribution is complicated or unknown, or when the sample size is too small for standard statistical inferences.

Capital asset pricing model (CAPM) Describes the relationship between risk and expected return that is used in the pricing of securities; the return on any security is proportional to the risk of that security as measured by its market beta.